

Accounting Principles

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Lite — Quick Review (1h-1d)

Skim this when the exam is tomorrow and you need the spine of Chapter 1, Module 1 of the ICSI syllabus.

Accounting Principles are the doctrine-layer rules that decide what gets recorded, when, and at what value, sitting one level above Accounting Standards in the GAAP hierarchy. Every transaction enters the books through the Accounting Equation: $A = L + OE$ (Assets = Liabilities + Owner's Equity), expressed in ₹, and the equation must hold after every journal entry. That equation is the only quantitative anchor examiners test at the Lite level.

- Concepts vs Conventions: Concepts = basic assumptions (Accrual, Going Concern, Entity). Conventions = evolved customs (Consistency, Conservatism, Full Disclosure).
- Revenue rule: recognise when earned, not when cash arrives (AS 9 / Ind AS 18).
- Cost rule: assets sit at historical cost until impairment under AS 28 / Ind AS 36.
- Duality: every debit has an equal, opposite credit.

High-Yield Memory Hook — "B-HAD-MAPS-C-FR": Business Entity, Historical Cost, Accrual, Duality, Materiality, All events (Substance over Form), Prudence, Separability of owner, Consistency, Full Disclosure, Revenue Recognition. Walk the alphabet once before the paper — eleven principles, no duplicates, no omissions.

Standard — Regular Study (2d-2mo)

The working layer. Read this when you have a week and want to apply the principles, not just list them.

Concept-versus-Convention Matrix

The single highest-frequency 5-mark question in this chapter is "distinguish between concepts and conventions." Most answers lose marks because candidates mix them. The cleanest separation:

Basis	Accounting Concepts	Accounting Conventions
Origin	Derived from logical assumptions about business	Emerged from accounting practice over time
Nature	Mandatory, foundational	Customary, evolved
Change	Rarely altered	Modified as practice changes
Examples	Entity, Going Concern, Accrual, Dual Aspect, Historical Cost	Consistency, Conservatism, Materiality, Full Disclosure, Revenue Recognition
Source	Theoretical / doctrinal	Traditional / customary usage
ICAI treatment	Listed first in the Conceptual Framework chapter	Listed as derived working rules

Core Principles You Must Write From Memory

Business Entity — owner $\neq$ business; capital introduced is a liability of the firm to the owner.

Going Concern — statements assume indefinite life; fails only on liquidation or closure.

Accrual (Matching) — income and costs matched to the period in which they occur, irrespective of cash movement.

Dual Aspect (Duality) — every transaction has two equal sides; supports the entire double-entry system.

Historical Cost — assets recorded at acquisition price; revaluation prohibited under standard

practice.

Prudence — anticipate no profit, provide for all probable losses; recognise revenue only when realised.

Consistency — same method period after period; change requires disclosure of effect.

Materiality — separate disclosure for items that influence decisions; trivial items aggregated.

Full Disclosure — material facts, accounting policies, contingent liabilities all reported.

Substance over Form — recording follows economic reality, not legal label (Ind AS framework).

Depreciation Formulas (Quantitative Anchor)

Method Formula Variables (SI / ICAI unit)

Straight-Line (SLM) $D = (C - S) \div n$ D = annual depreciation (₹/year); C = original cost (₹); S = scrap value (₹); n = useful life (years)

SLM Rate $R = (1/n) \times 100$ R expressed as % p.a. on cost

Written Down Value $WDV_n = C \times (1 - r)^n$ r = WDV rate (decimal p.a.); n = years elapsed; output in ₹

Schedule II of the Companies Act 2013 prescribes the useful-life bands for tangible assets; current lives and scrap-value rules must be verified from the latest MCA notification before quoting in an answer.

Exam-Level Worked Problem

A company bought machinery on 1 April 2023 for ₹5,00,000, paying ₹50,000 for installation. Useful life under Schedule II is 10 years; scrap value estimated at ₹50,000. Compute depreciation for the year ended 31 March 2024 under SLM. The company adopted WDV method in earlier years — what principle is invoked if it switches back to SLM?

Resolution. Total capitalised cost $C = 5,00,000 + 50,000 = ₹5,50,000$ (Historical Cost + matching of directly attributable costs to the asset). $D = (C - S) \div n = (5,50,000 - 50,000) \div 10 = ₹50,000$ per year. Since the asset was used for the full financial year, depreciation charge = ₹50,000.

For the second part: switching from WDV to SLM is a change in accounting policy, permitted only with disclosure of the effect on profit and asset values (Consistency principle). Ind AS 8 / AS 5 requires retrospective adjustment unless impractical, plus a clear note in financial statements.

Examiner Trap: Students forget to add installation, freight, and trial-run costs to C . Capital cost under AS 10 / Ind AS 16 includes every cost necessary to bring the asset to working condition — only after that addition is SLM meaningful.

Extended — Deep Study (3mo+)

For candidates targeting distinction band or working through module-end mock tests.

Five Traps That Cost Marks Even After Revision

Conservatism $\neq$ systematic understatement. It is asymmetric prudence: recognise losses the moment they are probable, but revenue only when realised. Treating it as "always understate" misapplies AS 29 provisions.

Going Concern has a trigger threshold. It collapses when liquidation is imminent, the entity has ceased operations, or there is no realistic alternative to closure. Statements must then switch to break-up basis — a frequent 2-mark distinction.

Dual Aspect is bookkeeping, not entity separation. Mixing Dual Aspect with Business Entity is the

most common 2-mark distinction error. Dual Aspect explains why every entry has two sides; Entity explains who owns what.

Materiality is quantitative AND qualitative. A ₹10 lakh fraud on a small trader is material qualitatively even if quantitatively trivial; a ₹500 rounding error on a crore-turnover firm is not.

Substance over Form vs legal form. A sale-and-leaseback that is in substance a financing arrangement must be accounted for as a borrowing under Ind AS 17 / Ind AS 116 — the legal sale is overridden by the economic substance.

Adjacent Topics and Cross-Links

- Ind AS 18 Ind AS 115 transition — the 5-step revenue model supersedes the older earned-realised criteria tested in AS 9 questions.
- AS 28 / Ind AS 36 impairment — directly modifies Historical Cost when carrying amount exceeds recoverable amount.
- Schedule II useful lives — must be re-checked against the current Companies Act notification for any depreciation numerical answer.
- Ind AS vs IFRS convergence — Ind AS is largely converged with IFRS; differences remain in carve-outs (notably Ind AS 17 leasing carve-out historically). Treat this as a current-syllabus distinction, not a permanent one.

Two Advanced Practice Prompts

A firm values closing stock at the lower of cost and net realisable value, but its comparable peers use cost alone. Apply Conservatism, Consistency, and Disclosure principles together and draft the auditor's note you would expect in the financial statements.

An entity records revenue on shipment but permits 60-day returns. Evaluate against AS 9 / Ind AS 18 criteria: at what point does risk-reward transfer actually occur, and when is that point defeated by the return clause?

Quick Self-Test Before the Paper

- Can you write the eleven principles in order without prompting? (B-HAD-MAPS-C-FR)
- Can you derive $D = (C - S)/n$ and explain each variable's ₹ unit?
- Can you distinguish concept from convention in two lines each?
- Do you know when Going Concern fails and which AS governs policy change?

Continue your study

- View this topic in your CS Executive roadmap — see where "Accounting Principles" fits in your personalised plan
- Build a quick revision plan — 1-day sprint covering highest-weight topics
- CS Executive exam overview — pattern, eligibility, and syllabus
- All Accounting notes — browse sibling topics in this subject

Content adapted based on your selected roadmap duration. Switch tiers using the selector above.